

TSHELO

AML/CFT/CPF Risk Management Framework

Anti-Money Laundering, Counter Financing of Terrorism,
and Counter Proliferation Financing

Bank of Botswana Regulatory Sandbox Application

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This framework sets out Data Sentinels' AML/CFT/CPF controls for the Tshelo platform. It is prepared in accordance with the Financial Intelligence Act No. 2 of 2022 (the FIA), and demonstrates Tshelo's commitment to preventing money laundering, terrorism financing, and proliferation financing through its platform. This framework applies to the sandbox testing period (May 2026 to October 2026) and will remain in force upon commercial launch.

1. Regulatory Position and Legal Basis

1.1 Tshelo's Classification Under the FIA

Tshelo is a transparency and record-keeping tool. It does not hold, process, transmit, or move funds. Based on a review of the Financial Intelligence Act No. 2 of 2022, Data Sentinels has assessed that Tshelo does not qualify as a specified party under Schedule I of the FIA, as it is not a bank, electronic payment service provider, money or value transfer service, virtual asset service provider, or any other entity listed in that Schedule.

However, Data Sentinels acknowledges the following obligations that apply to any business operating in Botswana:

- Section 40 of the FIA: General reporting obligation applies to any person carrying on a business who has reason to believe a transaction may be suspicious
- Section 38 of the FIA: Suspicious transaction reporting obligations, which Data Sentinels treats as applicable in good faith given the financial context in which Tshelo operates
- Sections 31 and 32 of the FIA: Record-keeping obligations that Data Sentinels applies voluntarily to its platform data

1.2 Inherent AML/CFT Risk Reduction

Tshelo's architecture inherently reduces AML/CFT/CPF risk relative to financial service providers:

Structural Feature	AML/CFT Risk Reduction
No fund custody	Tshelo cannot be used to hold, layer, or integrate illicit funds because it holds no funds at any time. All money flows through licensed mobile money providers who have their own AML obligations.
Closed-loop invite-only design	Funds are private and accessible only to personally invited members. This eliminates anonymous public contributions and significantly limits the platform's exposure to unknown third parties.
Immutable audit trail	Every contribution, expense, and edit is permanently recorded with a timestamp and user ID. This creates a complete, tamper-evident record that supports any

	investigation.
OTP identity verification	All accounts are verified via OTP linked to a registered mobile number. No anonymous accounts are permitted. Identity is confirmed before any fund activity is recorded.
Fund size limits	Initial funds are capped at BWP 10,000. Limits scale only on the basis of completed fund history. Large-value transactions that could facilitate layering are structurally prevented.
KYC delegated to licensed providers	All contributors are already KYC-verified by their mobile money provider (Orange Money, MyZaka, Smega), which are themselves subject to AML obligations under the FIA.

2. AML/CFT/CPF Risk Assessment

The following risk assessment covers the primary ML/TF/PF risks applicable to Tshelo's platform and business model. Risks are rated after the application of inherent structural controls.

Ref	Risk Scenario	Type	Rating	Controls Applied
MONEY LAUNDERING RISKS				
ML1	Platform used to create false contribution records to justify the origin of illicit funds	ML	LOW	Tshelo holds no funds so cannot legitimise cash. Immutable audit trail. Fund size limits. OTP verification. Suspicious growth rate monitoring.
ML2	Fund organiser uses platform to record fictitious expenses to account for illicit spending	ML	LOW	Receipt photo required for expenses. All expenses visible to all fund members in real time. Full audit trail of all edits. Member dispute mechanism.
ML3	Multiple small funds created by same user to structure illicit flows below detection thresholds	ML	LOW	Maximum 2 active funds per user during sandbox. Fund scaling controlled. Cross-fund monitoring by CEO. Unusual pattern flagging.
ML4	Fraudulent fund created to collect money under false pretences (e.g. fake bereavement)	ML / Fraud	MEDIUM	Closed-loop invite-only. Fund created for known personal network only. OTP verification of organiser. Community trust mechanism (ratings). BoB sandbox oversight.
TERRORISM FINANCING RISKS				
TF1	Platform used to coordinate and record contributions for terrorism financing disguised as community event	TF	LOW	Fund types limited to funerals, weddings, graduations, celebrations. Closed-loop private funds. OTP identity verification. Fund size caps. Suspicious pattern monitoring. Section 40 FIA reporting obligation observed.
TF2	Platform used to communicate or coordinate	TF	LOW	Platform content monitored. No anonymous messaging feature. All

	terrorist activity through fund descriptions or messages			fund descriptions reviewed against prohibited content policy. Users can report suspicious fund content.
PROLIFERATION FINANCING RISKS				
PF1	Platform used to pool small contributions for proliferation financing disguised as community fund	PF	LOW	BWP 10,000 fund cap structurally limits scale. Closed-loop design. OTP identity. Community-specific fund types only. UN sanctions list screening planned for Version 2.

3. AML/CFT/CPF Controls Framework

3.1 Customer Identification and Verification

- All users must register with a valid Botswana mobile number
- OTP verification confirms the user controls the registered number before any fund activity is permitted
- No anonymous accounts are permitted under any circumstances
- Fund organisers must provide their name, mobile number, and mobile money provider details
- Contributors are identified by the mobile money SMS notification which carries their registered name
- All user identity records are retained for a minimum of 5 years consistent with FIA Section 32

3.2 Transaction Monitoring

- Fund growth rate is monitored in real time. Funds growing at an unusually rapid rate are flagged for CEO review
- Maximum fund goal of BWP 10,000 enforced at system level. Attempts to exceed this limit are rejected
- Maximum of 2 active funds per user at any one time during the sandbox period
- All contribution records, edits, and deletions are logged with timestamps and user IDs in an immutable audit trail
- Expense records require receipt photo documentation for amounts above defined threshold
- The CEO reviews the AML monitoring log monthly and before each report to the Bank of Botswana

3.3 Suspicious Activity Reporting

Data Sentinels will report to the Financial Intelligence Agency (FIA) in accordance with Section 40 of the Financial Intelligence Act No. 2 of 2022 if any of the following are observed:

- A fund that grows at an unusual speed inconsistent with normal community contribution patterns
- A fund where the stated purpose appears inconsistent with the contribution amounts or member profile

- A user who creates multiple funds in rapid succession with unusual patterns
- Any contribution or expense record that, on review, gives rise to reasonable suspicion of a financial offence
- Any user who appears on a sanctions or watchlist identified during due diligence

All suspicious transaction reports will be made in the form prescribed by the FIA within the period prescribed by the FIA. The CEO is the designated reporting officer.

3.4 Record Keeping

Record Type	Content	Retention Period
User registration records	Name, mobile number, OTP verification timestamp, mobile money provider	Minimum 5 years from account closure
Fund records	Fund name, type, goal, organiser ID, creation date, closure date, all member IDs	Minimum 5 years from fund closure
Contribution records	Amount, contributor ID, timestamp, SMS source, organiser confirmation timestamp, full edit history	Minimum 5 years from fund closure
Expense records	Amount, vendor, category, receipt photo, recording user ID, timestamp	Minimum 5 years from fund closure
AML monitoring log	All flags raised, review outcome, escalation decisions, STR submissions	Minimum 5 years from entry
Suspicious transaction reports	Full STR record including subject, transaction details, grounds for suspicion, submission confirmation	Minimum 5 years from submission

3.5 Sanctions Screening

- During the sandbox period, the CEO will manually screen any fund organiser or member who exhibits unusual behaviour against the UN Security Council consolidated sanctions list
- Tshelo will not establish or maintain a fund for any person who appears on a national or international sanctions list
- Automated sanctions screening is planned for integration in Version 2.0 before full commercial launch
- Data Sentinels will not engage with any person or entity designated as a terrorist or terrorist group under Section 10 of the FIA

4. AML/CFT/CPF Governance

4.1 Compliance Officer

During the sandbox testing period, the CEO (Nono Bokete) is designated as the AML/CFT/CPF Compliance Officer. The Compliance Officer is responsible for:

- Implementing and maintaining this framework

- Reviewing the AML monitoring log monthly
- Making suspicious transaction reports to the FIA when required
- Liaising with the Bank of Botswana and FIA on AML/CFT/CPF matters
- Ensuring all staff with platform access understand their AML obligations
- Updating this framework when regulatory requirements change

4.2 Training

- All Data Sentinels team members with access to Tshelo's platform or data will receive AML/CFT awareness training before the sandbox launch
- Training will cover: the FIA obligations applicable to Tshelo, how to identify suspicious activity, the internal reporting process, and the prohibition on tipping off
- Training records will be maintained and made available to the Bank of Botswana upon request

4.3 Framework Review

- This framework will be reviewed at least every 6 months and following any significant change to Tshelo's product, business model, or applicable regulation
- Any material updates will be communicated to the Bank of Botswana
- The framework will be updated before commercial launch to reflect any lessons learned during the sandbox period

5. Controls Summary

Ref	Control	FIA Reference	Status
C1	OTP identity verification for all accounts	Section 20 (spirit of)	Implemented
C2	No anonymous accounts permitted	Section 25	Implemented
C3	Fund size cap of BWP 10,000	Section 40 (mitigating control)	Implemented
C4	Immutable audit trail for all fund activity	Section 31	Implemented
C5	Fund growth rate monitoring and flagging	Section 40	Implemented
C6	Suspicious transaction reporting to FIA	Section 40	Implemented (policy)
C7	Record retention for minimum 5 years	Section 32	Implemented
C8	Designated AML Compliance Officer (CEO)	Section 14 (spirit of)	Implemented
C9	AML/CFT staff training before	Section 14(1)(c)	Planned pre-launch

	sandbox launch		
C10	Manual sanctions screening during sandbox	Section 27	Implemented (manual)
C11	Automated sanctions screening	Section 27	Planned for Version 2.0
C12	Closed-loop invite-only fund design	Section 40 (mitigating control)	Implemented